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TENTATIVE RULING

DEPARTMENT

415

HEARING DATE

August 5, 2026

CASE NUMBER

25STCV36742

MOTION

Motion to Compel Arbitration

MOVING PARTIES

Defendants

Downtown LA Law Group LLP, Farid Yaghoubtil, Daniel Azizi, and Salar
Hendizadeh

OPPOSING PARTY

Plaintiff Sereen Banna

MOTION

Defendants

Downtown LA Law Group LLP (“Downtown LA Law Group”), Farid Yaghoubtil, Daniel Azizi, and Salar Hendizadeh (collectively, “Defendants”) move to compel arbitration of the claims Plaintiff Sereen Banna (“Plaintiff”) asserts against Defendants. Plaintiff opposes the motion.

Plaintiff also

filed an amended complaint. Plaintiff had the right to amend the complaint without leave of court before Defendants responded to the complaint. (Code Civ. Proc., § 472.) But Plaintiff waited until after Defendants filed this motion to compel arbitration on February 26, 2026 to file the amended complaint on July 22, 2026, two weeks before the scheduled hearing concerning the instant motion. Plaintiff was not required to seek leave of court to file the amended complaint because Defendant had not yet filed an answer, demurrer, or motion to strike. (See Code Civ. Proc., § 472.)

ANALYSIS

The moving party

on a petition to compel arbitration “bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination.” (Ruiz v. Moss Bros. Auto Group, Inc. (2014) 232 Cal.App.4th 836, 842, internal quotations and citations omitted.)

In support of

their motion, Defendants have submitted an arbitration agreement Plaintiff signed when Plaintiff worked for Downtown LA Law Group. The arbitration agreement provides, in relevant part, Plaintiff and Downtown LA Law Group and any of Downtown LA Law Group’s “related entities, holding companies, parents, subsidiaries, divisions, officers, shareholders, directors, employees, agents, venders, contractors, doctors, patients, insurers, predecessors, successors, and assigns” agree to “submit[]

to final and binding arbitration” “any controversy, claim or dispute” which “relat[es] to or aris[es] out of [Plaintiff’s] employment, or the cessation of that employment” (Declaration of Amirah Rezkallah in Support of Motion to Compel Arbitration, Exhibit 1, p. 1.) Accordingly, Defendant has met its burden to show an agreement to arbitrate covers Plaintiff’s claims.

The arbitration agreement Plaintiff signed specifies the Federal Arbitration Act governs. (Rezkallah Decl., Exhibit 1, p. 2.) A choice of law provision in an arbitration agreement is enforceable. (Coopers & Lybrand v. Superior Court (1989) 212 Cal.App.3d 524, 538.) As such, the Federal Arbitration Act applies.

Plaintiff argues the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 (EFAA), which became law on March 3, 2022, bars arbitration of Plaintiff’s claims. This law amends the FAA to provide, “at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, or the named representative of a class or in a collective action alleging such conduct, no predispute arbitration agreement . . . shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute.” (9 U.S.C. § 402(a).)

For purposes of this law, a sexual assault dispute is “a dispute involving a nonconsensual sexual act or sexual contact . . . , including when the victim lacks capacity to consent . . . ,” and a sexual harassment dispute is “a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law. (9 U.S.C. § 401(3)-(4).) The law applies to “any dispute or claim that arises or accrues on or after the date of enactment of this Act.” (9 U.S.C. § 401 note.) Plaintiff’s claims arose after her employment with Downtown LA Law Group commenced in December 2023. (First Amended Complaint, ¶ 22.) Accordingly, if appropriate, the EFAA may apply to this case.

However, in the first amended complaint, Plaintiff does not assert a claim for sexual harassment. Instead, Plaintiff asserts a claim for harassment based on national origin and religion. (See First Amended Complaint, ¶ 100.) To state a claim for sexual harassment, Plaintiff must allege

Defendants subjected Plaintiff to sexual propositions, unwarranted graphic discussion of sexual acts, commentary on the employee's body and the sexual uses to which it could be put, expressly or impliedly conditioning employment upon acceptance of a supervisor's unwelcome sexual advances, or the creation of a hostile environment for an employee because of that employee's sex. (Mogilefsky v. Superior Court (1993) 20 Cal.App.4th 1409, 1414-1415.)

In her first amended complaint, Plaintiff tersely alleges Defendants terminated Plaintiff's employment because of Plaintiff's sex or gender, which was a substantial motivating factor for her termination. (First Amended Complaint, ¶¶ 89, 90.) That may constitute discrimination against Plaintiff "in compensation or in terms, conditions, or privileges of employment" (Gov. Code, § 12940, subd. (a)) but not harassment. Accordingly, the Court concludes EFAA does not bar arbitration of Plaintiff's claims.

Plaintiff argues the arbitration agreement is not enforceable pursuant to California's requirements for arbitration of employment claims. As set forth above, the arbitration agreement Plaintiff signed specifies the FAA governs, which is an enforceable choice of law provision. Under the FAA, defenses which derive their meaning from the fact an agreement to arbitrate is at issue cannot invalidate agreements to arbitrate. (AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339 (AT&T Mobility).) The rules for arbitration of employment claims under California law are specific to arbitration agreements. A court may invalidate an arbitration agreement based on "generally applicable contract defenses" like fraud or unconscionability, but not on legal rules that "apply only to arbitration or that derive their meaning from the fact that an agreement to arbitrate is at issue." (Viking River Cruises, Inc. v. Moriana (2022) 596 U.S. 639, 650.) These rules cannot invalidate the subject arbitration agreement. Therefore, it is enforceable.

Plaintiff also argues the arbitration agreement does not apply to all Defendants. As set forth above, the arbitration agreement applies to Downtown LA Law Group and its "related entities, holding companies, parents, subsidiaries, divisions, officers, shareholders, directors, employees, agents, vendors, contractors, doctors, patients, insurers, predecessors,

successors, and assigns”

(Rezkallah Decl., Exhibit 1, p. 1.)

It, therefore, applies to all Defendants in this case. (Dryer v. Los Angeles Rams (1985) 40 Cal.3d 406, 418.)

Unconscionability

Plaintiff contends

the arbitration agreement is unconscionable.

Pursuant to Civil Code section 1670.5, subdivision (a), “If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” Unconscionability is defined as “an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.” (A & M Produce Co. v. FMC Corp. (1982) 135 Cal.App.3d 473, 486 (A & M Produce).) Unconscionability thus has a procedural and a substantive element. (Ibid.)

The Court

considers the factors of oppression and surprise in determining whether a contract is procedurally unconscionable. (A & M Produce, supra, 135

Cal.App.3d at p. 486.) Oppression

refers to inequality of bargaining power, which cuts off meaningful

negotiation. (Ibid.) Surprise refers to the concealment of the

agreed-upon terms in a lengthy form drafted by the party seeking to enforce

them. (Ibid.) Substantive unconscionability refers to the

extent to which a contractual term reallocates the risks of a transaction “in

an objectively unreasonable or unexpected or unexpected manner.” (Id. at 487.) Both substantive and procedural

unconscionability must be present for a contract to be unenforceable, and “the

greater the unfair surprise or inequality of bargaining power, the less

unreasonable the risk allocation which will be tolerated.” (Ibid.)

The evidence

before the Court indicates Downtown LA Law Group prepared the arbitration agreement, and Plaintiff had no opportunity to negotiate or discuss the terms of the arbitration agreement. (See

Declaration of Sereen Banna, ¶¶ 4-8.) It

is, therefore, a contract of adhesion. (Neal

v. State Farm Ins. Companies (1961) 188 Cal.App.2d 690, 694.) This is some evidence of procedural unconscionability. (Flores v.

Transamerica HomeFirst, Inc. (2001) 93 Cal.App.4th 846, 853.) While Plaintiff argues the incorporation by reference of rules for arbitration into the agreement is some evidence of surprise, it is not, because the arbitration agreement specifically identifies the applicable rules and the source thereof.

Furthermore, while

Plaintiff has demonstrated some procedural unconscionability, Plaintiff has not demonstrated the arbitration clause is substantively unconscionable. Plaintiff's contention in this regard is based on rules which apply specifically to arbitration agreements. As discussed above, because the FAA applies in this instance, the Court cannot invalidate the arbitration agreement at issue based on rules which apply specifically to arbitration agreements. (AT&T Mobility, supra, 563 U.S. at p. 339.) Accordingly, Plaintiff fails to show the arbitration clause is substantively unconscionable. Thus, the arbitration clause is not unenforceable due to unconscionability.

Plaintiff further argues

Defendants failed to require him to sign a new arbitration agreement when Downtown LA Law Group re-hired her. That is immaterial. By its terms, the agreement Plaintiff signed applies to claims which "relat[e] to or aris[e] out of [Plaintiff's] employment, or the cessation of that employment" (Rezkallah Decl., Exhibit 1, p. 1.) This clause did not expire when Downtown LA Law Group re-hired Plaintiff.

Plaintiff also

contends the date on the arbitration agreement does not match the declaration Defendants filed in support of the motion.

However, Plaintiff admits to signing the arbitration agreement. (See Banna Decl., ¶ 7.) As the authenticity of the agreement is not in dispute, any mismatch of the dates is irrelevant.

CONCLUSION AND ORDER

Defendants' motion to compel

Plaintiff to arbitrate is granted. This

case is stayed pending arbitration. The

Court sets an order to show case regarding status of arbitration to be heard on

May 5, 2027.

Defendants are ordered to provide notice of
the Court's ruling and to file proof of service of same.